

Now we have to figure out the one to be put to use. We will rarely be using WMA and will majorly rely on SMA and EMA. The difference between EMA and SMA is sensitivity. EMA reacts much quicker to price changes as compared to SMA. As a result, it is relatively more volatile whereas the SMA is much more stable.

Traders will develop their preferences going ahead and choose between SMA or EMA. As a general rule, for short term holding period, we will use exponential moving averages as they handle volatility better and for longer-term holding period (more than a week), we will use simple moving averages. However, these are random suggestions and no fixed rules and a trader will develop their preferences going ahead.

SUITABILITY

Moving averages are suitable for all kinds of assets – indices, large-cap, mid-cap, small-cap, currency, commodities and many more. However, trading decisions purely based on moving averages shall be restricted to indices and large caps because small-caps and the mid-cap trend can be at times managed by promoters and significant investors.

We will combine moving averages with other analytical tools too to create positive signals about the same. If used well, moving averages is a really powerful way to conduct technical analysis for assets.



INDICES



LARGE CAPS

